

Research Statement

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My research lies at the intersection of macroeconomics, labor, monetary, and financial economics, using structural models and modern econometric techniques to answer questions that are both academically significant and policy relevant. I combine DSGE modeling, structural vector autoregressions, structural estimation, and restricted-access microdata to study how institutions and frictions shape aggregate outcomes. I am especially interested in labor market reforms within dynamic general equilibrium frameworks, the role of monetary institutions, and the interaction between financial frictions and inequality.

My agenda revolves around three themes: (1) how labor market reforms influence macroeconomic fluctuations, (2) reevaluating core monetary theories using improved data and methods, and (3) how financial frictions and disparities in credit markets affect entrepreneurship and productivity. This work has produced 24 peer-reviewed publications alongside an active pipeline of submitted and in-progress papers, reflecting a sustained record of output across these areas.

"Capital Misallocation at the Intersection of Race and Gender: Evidence from Small Businesses" (with Dr. Carlena Ficano) (Job Market Paper)

Understanding why minority- and women-owned firms underperform is central to debates over entrepreneurship, inequality, and the efficient allocation of capital, yet standard measures cannot reveal whether the binding constraint is the product market or credit access. This paper asks whether the disadvantages facing these firms stem from weaker product-market conditions or from differential credit access, and whether they differ at the intersection of race and gender. Supported by a **\$7,500 faculty research grant**, I use the restricted-access Kauffman Firm Survey, which tracks 4,928 U.S. start-ups, to study capital misallocation in a unified framework. Because average revenue products of capital conflate output-price differences with differences in the marginal productivity of capital, I estimate a two-step system that decomposes the average revenue product of capital into a markup (output-market) wedge and a credit wedge. Relative to White male-owned firms, White female-owned firms show little output-market penalty yet remain undercapitalized; Black female-owned firms face weaker output-market conditions and higher loan-rejection rates, concentrated among smaller firms; and Black male-owned firms face the largest, most persistent markup wedges alongside positive credit wedges. Across groups, product-market disadvantages are at least as important as—and often larger than—credit frictions, except for White female-owned firms, whose central constraint is undercapitalization. Pooled race-only or gender-only comparisons obscure this heterogeneity, underscoring the value of an intersectional lens for both measurement and policy.

"Labor Market Reform in the Business Cycle Framework" (Submitted)

Most research on labor market reform relies on reduced-form methods. I integrate reform into a real business cycle model with labor search, using a comprehensive Labor Market Freedom Index (LMFI) that enters as a shock transmitted through two channels: vacancy-posting costs and matching efficiency. Calibrating the model to U.S. data and simulating impulse responses, I find that vacancy responses depend on the active channel—rising through posting costs and falling through matching efficiency—with the posting-cost channel dominating when both operate, producing a net increase in vacancies and a consistent decline in unemployment. A DSGE extension shows that LMFI persistence governs transmission: high persistence strengthens the negative matching-efficiency response, while low persistence favors positive vacancy responses. Evidence from VAR and panel-VAR analyses with U.S. and OECD data supports the model's dual-channel mechanism.

"Revisiting the Quantity Theory of Money: Measurement and Filtering Perspectives" (Submitted)

This paper revisits Lucas's (1980) conclusion using updated data and methods. I incorporate Divisia and Fisher-Ideal monetary aggregates, use the 10-year Treasury rate to better capture inflation expect-

tations, replace CPI with the GDP deflator to reduce measurement bias, and test alternative filters, including Hamilton (2018). Two findings stand out. First, the choice of monetary aggregate and filtering technique is decisive for the estimated relationships among money growth, inflation, and interest rates. Second, across sample periods, Divisia M2 and MZM analyzed with the Hamilton filter align closely with the quantity theory. Together, these aggregates and the Hamilton filter recover the theory's core long-run predictions with fewer distortions than traditional approaches.

"Money or Bonds? The Macroeconomics of Deficit Finance in the United States" (Submitted)

This paper reassesses the endogenous monetary and fiscal policy model of Turnovsky and Wohar (1987) on U.S. quarterly data from 1983 to 2025, asking whether the composition of deficit financing has distinct effects and whether the rules governing policy have changed. Identifying money-financed and bond-financed deficit shocks in a structural VAR, I find that the mode of financing matters: a bond-financed shock raises unemployment and lowers the real interest rate—a crowding-out pattern robust across identification schemes—while the money-financed inflation channel is weaker than the popular account of the recent inflation supposes. The monetary and fiscal reaction functions are unstable, with breaks near 2001 and 2019 and a fiscal rule that stops leaning against inflation after 2008. Long-run monetary neutrality holds only after 2001, implying that neutrality is a property the policy regime produces rather than a fixed feature of the economy. Applied to the 2021–2023 inflation, the framework attributes a modest share of the rise to deficit financing, concentrated in its money-financed component.

Future Research

"Labor Market Reform and the Steady-state"

In this project, I analyze how labor market reform performs under different economic conditions. Using a New Keynesian model with labor market frictions, I represent reform as a permanent change in the LMFI and show that increasing labor market flexibility has both intended and unintended macroeconomic effects. The main findings are threefold: the long-run impact depends on the reform's mechanism, wage rigidity matters only in the short run by lengthening or shortening the transition path, and firms respond differently when reform is pre-announced.

"Confidence, Credit, and Crises: A DSGE Analysis of Bank Lending Across Financial Regimes"

This project develops a DSGE model with an explicit banking sector to examine how consumer and business confidence shocks shape credit dynamics across financial regimes. It integrates confidence and expected-default shocks so that beliefs and perceived risk affect banks' funding wedges and intermediation costs, capturing both a sentiment-driven channel through which optimism compresses spreads and expands lending and a risk-pricing channel through which rising default expectations tighten credit. Calibrating to U.S. data before and after the Great Financial Crisis and the COVID-19 pandemic, I document a structural shift from belief-based to risk-based credit dynamics and show how macroprudential policy and liquidity backstops reallocate volatility from lending quantities to prices, thereby improving systemic resilience.

My long-term agenda integrates DSGE modeling, structural estimation, and rich microdata to study how institutional reforms and financial frictions shape macroeconomic outcomes, producing research that advances theory while informing policy on labor market flexibility, monetary measurement and rules, and inclusive access to capital.